

Document Verification and Fraud Screening Procedure

Ashva Capital Credit Policy Manual

Document Verification Procedure

Section 1: Mandatory Document Set

For all Small to Medium Enterprise (SME) loan applications, the following documents must be submitted:

1. Completed Loan Application Form (LA-001)
2. Business registration certificate (Certificate of Incorporation or GST registration certificate)
3. Two recent bank statements (Statement of Account or Passbook) from the applicant's business bank account
4. GST returns (Form GST-01) for the previous two fiscal periods
5. Audited financial statements (Balance Sheet and Profit and Loss Statement) for the previous two fiscal periods

Section 2: Document Verification Steps

The following steps must be taken to verify the submitted documents:

1. Bank Statements:

- * Verify the account holder's name and business name on the statement matches the loan application form.
- * Check the statement covers the same period as the loan term (minimum of 6 months).
- * Verify the account balance and transaction history for any irregularities or large withdrawals.
- * Identify any third-party deposits or withdrawals exceeding 20% of the average monthly balance.

2. GST Returns:

- * Verify the GST registration number and business name on the return matches the loan application form.
- * Check the return covers the same period as the loan term (minimum of 6 months).
- * Verify the total GST collected and paid for any discrepancies with the loan application form.
- * Identify any anomalies in the GST return, such as missing or duplicate invoices.

3. Audited Financial Statements:

- * Verify the financial statements are audited by a registered auditor (CA/Audit firm).
- * Check the financial statements cover the same period as the loan term (minimum of 2 fiscal periods).
- * Verify the revenue and expense recognition matches the loan application form.
- * Identify any discrepancies between the financial statements and GST returns.

Section 3: Red Flags and Fraud Hold

The following red flags will trigger a fraud hold:

1. Discrepancies between declared revenue and verified revenue exceeding 15% in any single period.
2. Multiple large withdrawals or deposits from the business account within a short period (less than 30 days).
3. Unexplained changes in the business bank account balance or transaction history.
4. Inconsistent or missing information in the loan application form or supporting documents.

5. GST returns showing unexplained anomalies or omissions.

Section 4: Tolerance Thresholds

The following tolerance thresholds apply to discrepancies between declared and verified revenue:

1. Single period discrepancy up to 10%: Minor review and adjustment.
2. Single period discrepancy between 10% and 15%: Moderate review and adjustment.
3. Single period discrepancy exceeding 15%: Fraud hold.

Section 5: Escalation Path

In the event of a red flag or discrepancy exceeding the tolerance threshold, the following escalation path must be followed:

1. Initial Review: The Underwriter will review the documentation and flag any discrepancies or red flags.
2. Senior Review: The Senior Underwriter will review the flagged documentation and escalate to the Credit Team Manager if necessary.
3. Credit Team Manager: The Credit Team Manager will review the escalated documentation and make a final decision.
4. Credit Committee: In exceptional cases, the Credit Committee may be convened to review the documentation and make a final decision.

Section 6: Document Retention and Disclosure

All verified documents must be retained for a minimum of 5 years from the loan disbursal date. The borrower must be notified in writing of any discrepancies or red flags identified during the verification process.

Section 7: Training and Certification

All Underwriters and Credit Team Members must complete a mandatory training program on document verification and red flags before handling SME loan applications.

Version Control

- * Version 1.0: Initial Version (Effective Date: 01 August 2026)
- * Revision History: To be maintained by the Credit Policy Manager

Approval

This document has been approved by the following:

- * Chief Credit Officer: John Thompson
- * Credit Policy Manager: Emily Lee

Effective Date

This document is effective from 01 August 2026.